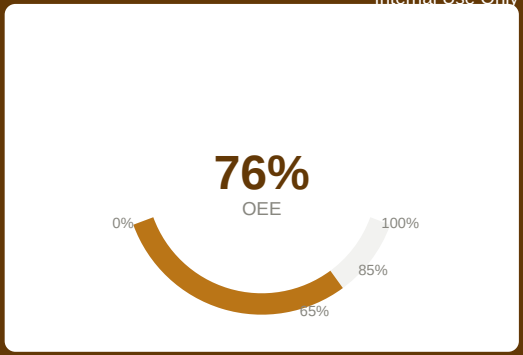
OPERATIONS

Internal Use Only

OEE (Overall Equipment Effectiveness)

Measure equipment productivity as Availability × Performance × Quality — identifying which of the six big losses to target



WHEN TO USE

When equipment is a constraint on output; to benchmark machine performance and prioritise maintenance investment decisions.

HOW TO APPLY — STEPS

1. Define and measure Availability (planned run time minus unplanned stops)
2. Measure Performance (actual output rate vs theoretical ideal rate)
3. Measure Quality (good parts as a % of total parts produced)
4. Calculate OEE = A × P × Q × 100
5. Identify the largest single loss category and focus improvement there

PRACTITIONER TIP

! World class OEE is 85%+. But first ensure your data definitions are accurate — garbage in equals garbage out on OEE.

KEY OUTPUTS

- OEE dashboard by machine and shift
- Six big losses waterfall analysis
- Improvement action plan with expected OEE impact

HOW TO MEASURE SUCCESS

OEE % improvement month on month; reduction in the identified biggest loss category

TOOL CATEGORY
Operations